ADANI GREEN ENERGY LIMITED

Annual Performance Report – FY2016 to FY2026

A Multimodal RAG Demo Document | Data Source: Screener.in

Market Cap	Current Price	P/E Ratio	ROCE
Rs.2,21,471 Cr	**Rs.1,345**	**122x**	**7.02%**
Total Debt	**Debt/Equity**	**ROE (FY26)**	**OPM (FY26)**
Rs.1,03,545 Cr	**5.19x**	**11.3%**	**83%**

1. Company Overview

Adani Green Energy Limited (AGEL), incorporated in 2015, is the renewable energy flagship of the Adani Group — one of India's largest conglomerates with nine publicly listed entities spanning energy, transport, logistics, and materials. Listed on NSE (ADANIGREEN) and BSE (541450), AGEL has grown to become one of India's largest renewable energy producers by installed capacity, with a bold long-term target of 45 GW of operational capacity.

The promoter group holds 62.44% (as of Mar 2026) with zero shares pledged — a strong indicator of confidence from controlling stakeholders, and a marked improvement since the volatility triggered by short-seller reports in early 2023.

Key Investment Highlights

- **10-Year Revenue CAGR of 85%** – among the fastest-growing listed energy companies in India.
- **10-Year Profit CAGR of 70%** – from losses pre-FY21 to Rs.1,987 Cr net profit in FY26.
- **OPM expanded from 57% (FY20) to 83% (FY26)** – reflecting scale and low-cost solar assets.
- **Zero dividend policy** – all cash flows reinvested into capacity expansion.
- **Elevated leverage (D/E 5.19x)** – typical for infrastructure but warrants close monitoring.
- **FII stake declining** (18.25% → 11.10%) while **DII stake tripling** (1.47% → 4.56%).

2. Annual Financial Performance (FY20–FY26)

AGEL's revenues have expanded nearly 5x in six years — from Rs.2,549 Cr in FY20 to Rs.12,928 Cr in FY26. Net profit turned consistently positive from FY21 as the first wave of large-scale solar plants reached full operation. FY25 was the peak profit year at Rs.2,001 Cr; FY26 saw a marginal dip to Rs.1,987 Cr as interest costs surged with new borrowings for the next capacity tranche.

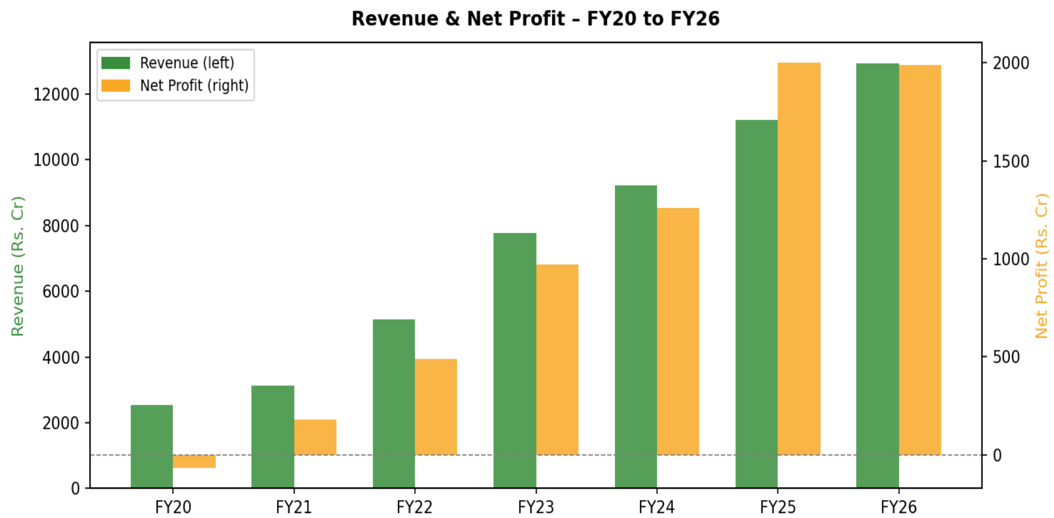

Figure 1: Annual Revenue (green bars) vs Net Profit (gold bars) – FY20 to FY26

2.1 Operating Profit Margin Trend

The OPM journey from 57% to 83% reflects two forces: (a) growing proportion of fully depreciated, low-cost-of-generation solar assets and (b) operating leverage as fixed costs are spread over a larger revenue base. The dip to 64% in FY23 was a transitional phase during rapid plant construction and integration.

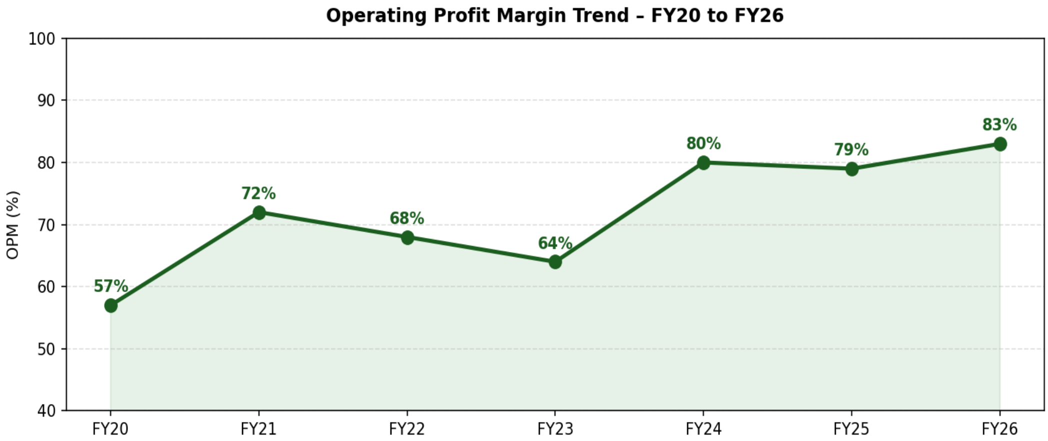

Figure 2: Operating Profit Margin (%) – FY20 to FY26

3. Quarterly Revenue & Profitability

Quarterly data exposes the seasonality of renewable generation and the bottom-line sensitivity to interest costs. Q1 (Apr–Jun, peak summer) is typically the strongest quarter. Q3 FY26 (Dec 2025) was a near-breakeven quarter at just Rs.5 Cr net profit on Rs.2,618 Cr sales — driven by Rs.1,698 Cr interest + adverse deferred tax effects, despite an 86% operating margin.

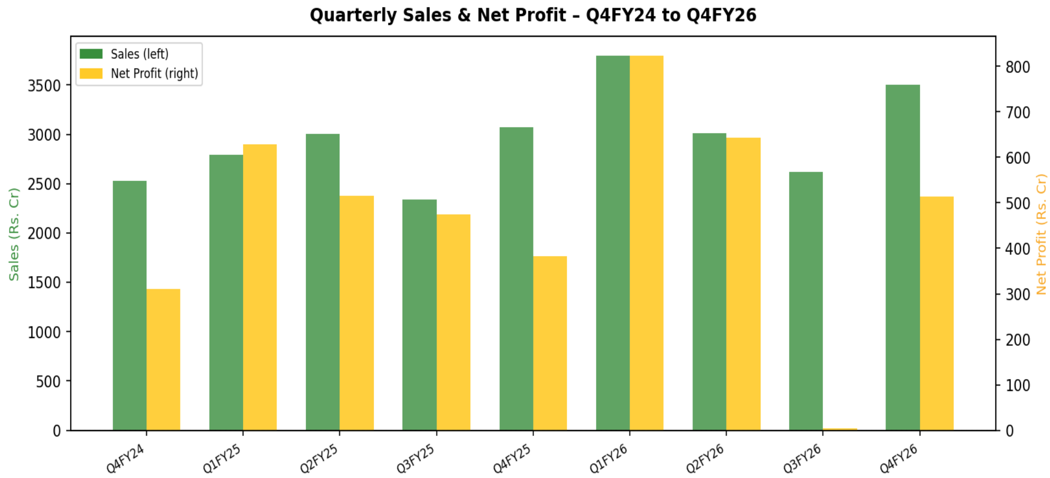

Figure 3: Quarterly Sales and Net Profit – Q4 FY24 to Q4 FY26

Key Quarterly Data (Rs. Crores)

Quarter	Sales	Op.Profit	OPM%	Net Profit	EPS
Q1 FY25	2,794	2,379	85%	629	2.82
Q2 FY25	3,005	2,217	74%	515	1.74
Q3 FY25	2,340	1,880	80%	474	3.11
Q4 FY25	3,073	2,402	78%	383	1.45
Q1 FY26	3,800	3,042	80%	824	4.39
Q2 FY26	3,008	2,603	87%	644	3.54
Q3 FY26	2,618	2,241	86%	5	–0.25
Q4 FY26	3,502	2,882	82%	514	2.41

4. Balance Sheet & Debt Analysis

Total assets grew from Rs.18,424 Cr (FY20) to Rs.1,44,097 Cr (FY26) — a 7.8x expansion funded predominantly by long-term project finance debt. Fixed assets (operational plants) of Rs.1,02,153 Cr and CWIP of Rs.19,016 Cr constitute over 83% of the balance sheet. Borrowings have risen from Rs.14,867 Cr to Rs.1,03,545 Cr over the same period.

The D/E of 5.19x is elevated but characteristic of large-scale renewable infrastructure financed via project finance with PPA-backed revenues. The critical metric to watch is interest coverage: at Rs.6,484 Cr interest vs Rs.10,768 Cr EBITDA in FY26, coverage is approximately 1.66x — leaving a thin buffer against revenue or cost shocks.

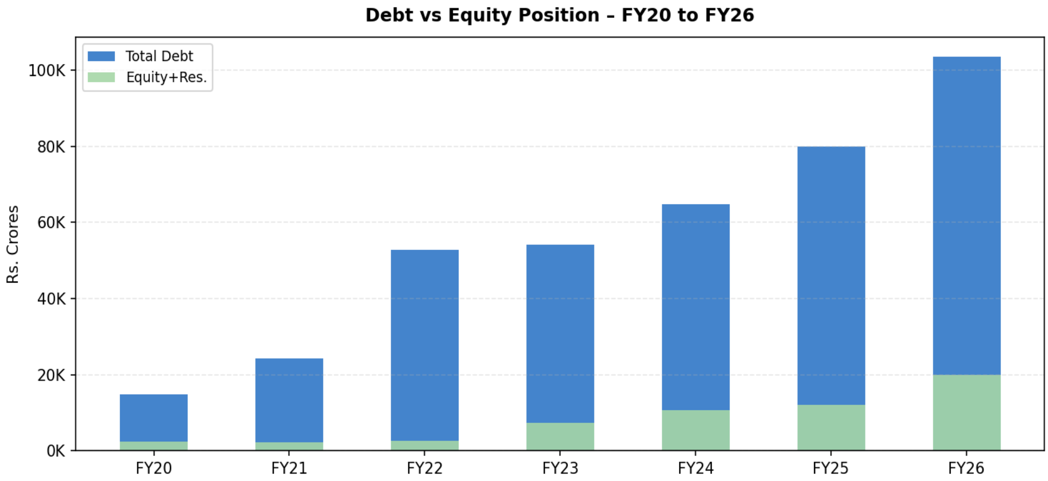

Figure 4: Total Debt (blue) vs Equity + Reserves (green) – FY20 to FY26

5. Cash Flow Analysis – FY26

FY26 operating cash flow of Rs.10,135 Cr was robust — up 21% from FY25. However, investing outflows of Rs.26,227 Cr (capex on new capacity) dwarfed OCF, necessitating Rs.15,615 Cr of new financing. Net cash declined by Rs.477 Cr. Free cash flow (OCF minus capex) remains deeply negative at approximately –Rs.15,774 Cr — expected for a company in aggressive build-out mode.

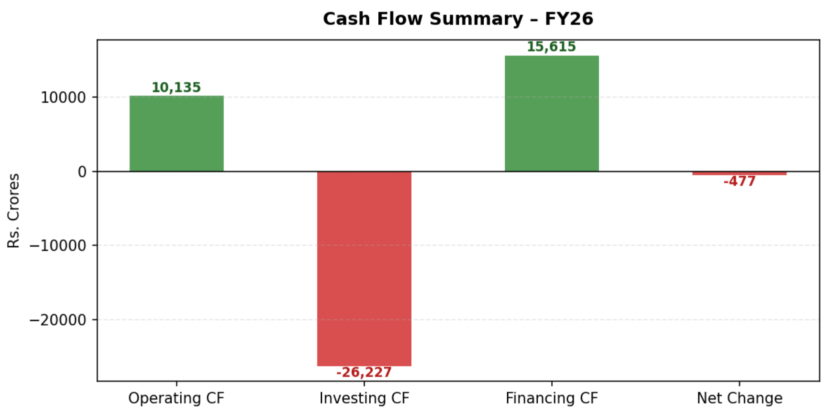

Figure 5: Cash Flow Waterfall – FY26 (Rs. Crores)

6. Shareholding Pattern (Mar 2026)

Promoter holdings have risen steadily from 56.27% (Jun 2023) to 62.44% (Mar 2026), signalling conviction from the Adani family. Zero pledged shares removes a major governance concern. FIIs have been persistent sellers over this period, trimming exposure from 18.25% to 11.10%. DIIs (primarily domestic mutual funds) have tripled their stake, from 1.47% to 4.56% — a significant shift in institutional confidence.

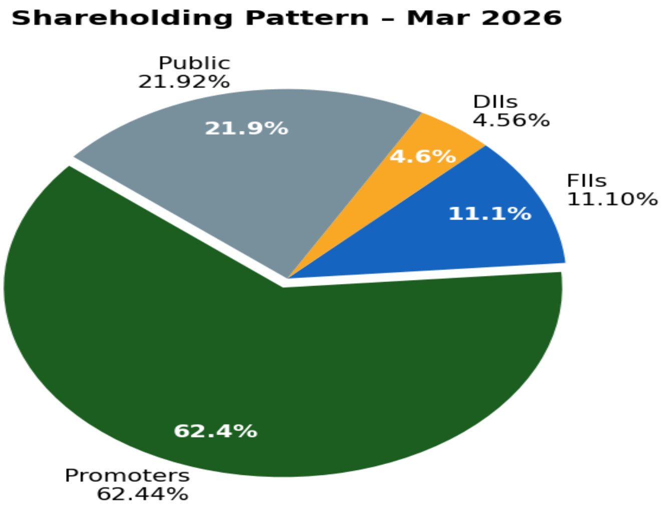

Figure 6: Shareholding Pattern as of March 2026

7. Peer Comparison

Among Indian power sector peers, AGEL ranks second by market cap at Rs.2,21,471 Cr, behind NTPC's Rs.3,76,812 Cr. It trades at 122x P/E — the second-highest in the peer set — justified by its superior growth runway, but also carrying the greatest re-rating risk if growth disappoints. ROCE of 7.02% is below the sector median of 6.34% (26-company group), pointing to long payback periods inherent in greenfield renewable projects.

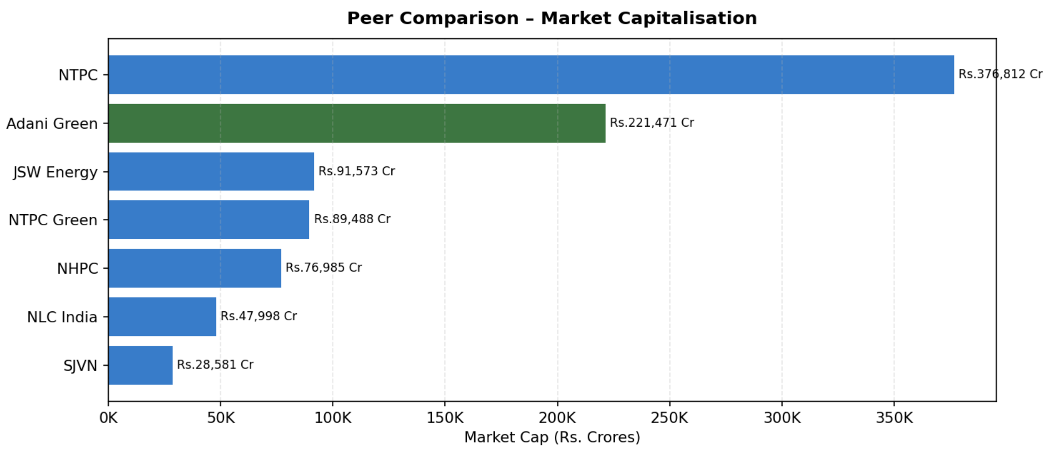

Figure 7: Peer Market Capitalisation Comparison (Rs. Crores)

Company	CMP (Rs)	P/E	Mkt Cap (Cr)	ROCE%	D/E
NTPC	388.60	15.61	3,76,812	10.83	1.33

Adani Green	**1,344.55**	**122.15**	**2,21,471**	**7.02**	**5.19**
JSW Energy	521.10	40.13	91,573	8.29	2.50
NTPC Green	106.20	160.11	89,488	4.89	1.16
NHPC	76.64	20.43	76,985	5.73	1.26
NLC India	346.15	13.64	47,998	10.45	1.30
SJVN	72.73	44.46	28,581	5.93	2.27

8. Key Risks & Investment Outlook

8.1 Risks

• **High Leverage (D/E 5.19x):** Interest coverage of ~1.66x leaves little buffer against revenue shocks or rate hikes.

• **Negative Free Cash Flow (–Rs.15,774 Cr FY26):** Fully dependent on continued access to debt markets at reasonable rates.

• **Stretched Valuation (122x P/E, 11x Book):** Any slowdown in growth targets or regulatory change could trigger sharp re-rating.

• **Conglomerate Headline Risk:** AGEL share price is sensitive to broader Adani Group news cycles.

• **Interest Capitalisation Concern:** Screener flags possible capitalisation of interest, which may overstate reported profits.

• **Volatile Tax Rate:** Negative or near-zero effective tax in some quarters creates EPS unpredictability.

8.2 Strengths & Long-Term Outlook

• **Structural Tailwind:** India's 500 GW renewable target by 2030 places AGEL at the heart of policy support.

• **Revenue Visibility:** 20–25-year PPAs with government-backed offtakers provide stable, predictable cash flows.

• **Scale Economics:** OPM expansion from 57% to 83% proves operating leverage at large scale.

• **Zero Promoter Pledge:** Major governance improvement; no forced-sale risk from margin calls.

• **DII Accumulation:** Domestic mutual fund buying signals growing mainstream acceptance.

• **5-Year Profit CAGR of 44%:** Even at half this rate over the next 5 years, current valuations become defensible.

Summary: Adani Green Energy is a high-conviction, high-risk infrastructure bet on India's energy transition. Its combination of exceptional scale, rising margins, and zero-pledge promoter confidence is compelling — but elevated debt, stretched valuation, and thin interest coverage demand disciplined risk management.

This PDF was designed as a demo document for a **Multimodal RAG pipeline**. It intentionally combines analytical text, data tables, and embedded chart images so that the RAG system can demonstrate retrieval from both text queries (e.g. 'What is the OPM trend?') and image queries (e.g. 'Show revenue chart').